

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

-----	X	
INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
-----	X	

RESPONDENTS’ PROPOSED FINDINGS OF FACT

Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PAF”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) respectfully submit the following Proposed Findings of Fact in accordance with the Scheduling Order dated May 10, 2023.

I. BACKGROUND

1. At present, Gateway provides stevedoring services in the Port of Savannah pursuant to a license agreement with the Georgia Ports Authority (“GPA”) and CSC provides stevedoring services in the Port of Charleston pursuant to licensing agreements with the South Carolina Port Authority (“SCPA”). *See* Exhibits 1-3 (Resp. Appx. 000001-78).

2. None of the other Respondents has any stevedoring or other operations in Savannah or Charleston for non-military containerized cargo; however, Ceres and SSA have an interest in Gateway and CSC, as does a non-party, Marine Terminals Corporation – East

(“MTCE”). *See* Declaration of Derek Grimes (“Grimes Decl.”) ¶ 12 (Resp. Appx. 000362-370); Declaration of Joseph Haigler (“Haigler Decl.”) ¶ 3 (Resp. Appx. 000371-377); Declaration of David Nelson (“Nelson Decl.”) ¶ 5 (Resp. Appx. 000393-395).

3. None of the Respondents has provided wharfage, dockage, warehousing, or other marine terminal facilities in Charleston or Savannah at any time relevant to this dispute. *See generally* Grimes Decl. (Resp. Appx. 000362-370); Haigler Decl. (Resp. Appx. 000371-377); Declaration of Craig Mygatt (“Mygatt Decl.”) (Resp. Appx. 000378-384); Declaration of Paul Lokey (“Lokey Decl.”) (Resp. Appx. 000385-392).

4. SCPA owns and exercises complete control over the marine terminal facilities at the Port of Charleston, including controlling access, security, maintenance, vessel berthing, and determining where cargo is placed in the facility. Haigler Decl. ¶¶ 5, 7-9 (Resp. Appx. 000371-377); Lokey Decl. ¶¶ 3, 4 (Resp. Appx. 000385-392).

5. GPA owns and exercises complete control over the marine terminal facilities at the Port of Savannah, including controlling access, security, maintenance, vessel berthing, and determining where cargo is placed in the facility. Declaration of Ed McCarthy (“McCarthy Decl.”) ¶¶ 3, 4 (Resp. Appx. 000396-407); Lokey Decl. ¶¶ 3, 4 (Resp. Appx. 000385-392).

II. THE PARTIES

6. Gateway is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City, GA 31408. Answer ¶ 2. Gateway is a joint-venture company owned by Southeast Stevedoring Holdings, LLC (“SSH”) which, in turn is owned by SSA, Ceres, and MTCE. Grimes Decl. ¶ 12 (Resp. Appx. 000365).

7. CSC is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492. Answer ¶ 3. CSC is a joint-

venture company owned by Ceres, SSA, and MTCE. Haigler Decl. ¶ 3 (Resp. Appx. 000372-373).

8. Ceres is a Maryland corporation with its principal place of business located at 565 Marriott Drive, Suite 400 Nashville, TN 37214. Answer ¶ 6.

9. SSA is a Delaware limited liability company with a principal place of business at 1131 SW Klickitat Way, Seattle, WA 98134. SSA also has a place of business at 107 Southern Blvd., Suite 201, Savannah, GA 31405. Answer ¶ 5.

10. PAF is a Florida corporation with its principal place of business at 2150 Guy N. Verger Blvd., Tampa, FL 33602. Answer ¶ 4.

III. RESPONDENTS' OPERATIONS IN THE PORTS OF CHARLESTON AND SAVANNAH PRIOR TO THE FORMATION OF THE JOINT VENTURES

A. Operations in the Port of Charleston

11. On August 1, 2018, Ceres signed a Port Facility License Agreement with the SCPA that authorized Ceres to store equipment and supplies at the Union Pier Terminal in Charleston. Exhibit 4 (Resp. Appx. 000079-89). Ceres also leased 2,000 square feet within Buildings 304 and 305 and near the luggage tent for the limited purpose of handling, receiving and storing Ceres' equipment. Mygatt Decl. ¶ 6 (Resp. Appx. 000380). Ceres was responsible for utilities, maintenance, and repairs for this area. *Id.*

12. Prior to May 4, 2020, SSA was a party to Port Facility License Agreements with the SCPA. Lokey Decl. ¶ 8 (Resp. Appx. 000387-388). SSA leased office space at the North Charleston terminal and at Wando terminal. *Id.* In addition, SSA leased space at the North Charleston terminal and Wando terminal where SSA performed cross-docking work, *i.e.*, moving cargo from one container or mode of transport to another. *Id.* No cargo remained in these small,

leased areas at the end of the day and SSA provided no warehousing or storage services within these leased areas. *Id.*

13. Prior to May 4, 2020, both Ceres and SSA provided container vessel stevedoring services at SCPA's Charleston facilities and entered into stevedoring services contracts with numerous ocean carriers. Mygatt Decl. ¶ 7 (Resp. Appx. 000380); Lokey Decl. ¶ 14 (Resp. Appx. 000389).

14. Ceres' and SSA's respective roles in the Port of Charleston were limited to providing container stevedoring services for vessels calling at that port. Mygatt Decl. ¶ 12 (Resp. Appx. 000381-382); Lokey Decl. ¶ 14 (Resp. Appx. 000389).

15. Other than charges for stevedoring services, neither SSA nor Ceres was involved in the issuance or collection of charges for the use of the terminal facility, such as wharfage, dockage, storage or demurrage; rather, the SCPA controlled (and continues to control) facility charges and set their respective tariff rates and other port fees. Mygatt Decl. ¶ 14 (Resp. Appx. 000382); Lokey Decl. ¶ 17 (Resp. Appx. 000390).

16. At the urging of SCPA, SSA, Ceres, and MTCE entered into a joint venture, CSC, to handle stevedore operations at the port of Charleston. CSC took over stevedoring work in Charleston as of May 4, 2020. Lokey Decl. ¶¶ 6, 7 (Resp. Appx. 000387).

B. Operations in the Port of Savannah

17. Ceres provided container vessel stevedoring services at GPA's Savannah facilities under a stevedoring license granted by the port authority and entered into stevedoring services contracts with numerous ocean carriers to handle loading and unloading of vessels at GPA's Savannah facilities. Mygatt Decl. ¶ 8 (Resp. Appx. 000380-381). Ceres also signed a lease

agreement with GPA on April 4, 2018, that authorized Ceres to occupy offices located at Raes Hall in Savannah. *Id.*

18. Before being replaced by Gateway, SSA leased office space in Raes Hall and Ocean Terminal. Lokey Decl. ¶ 11 (Resp. Appx. 000388). In addition, SSA leased space at Ocean Terminal, behind Warehouse 3, for equipment storage. *Id.* SSA also leased space in Warehouse 27 and then later moved to Garden City Warehouse 83B, where it performed cross-docking work, *i.e.*, moving cargo from one container or mode of transport to another. *Id.* No cargo remained in these leased areas at the end of the day and SSA provided no warehousing or storage services within any of these leased areas. *Id.*

19. Ceres' and SSA's respective roles in the Port of Savannah were limited to providing container stevedoring services for vessels calling at that port. Mygatt Decl. ¶ 12 (Resp. Appx. 000381-382); Lokey Decl. ¶ 10 (Resp. Appx. 000388).

20. Other than charges for stevedoring services, Ceres and SSA were not involved in the issuance or collection of collection of charges for the use of the terminal facility, such as wharfage, dockage, storage or demurrage; rather, the GPA controlled (and continues to control) facility charges and set their respective tariff rates and other port fees. Mygatt Decl. ¶ 14 (Resp. Appx. 000381-382); Lokey Decl. ¶ 17 (Resp. Appx. 000390).

21. With respect to gate operations, Gateway entered into an Operating Agreement with GPA for the period 2014-2017. The Operating Agreement set forth the scope of operations at the Port of Savannah during that time. Exhibit 5 (Resp. Appx. 000090-000109).

IV. REVIEW OF THE PROPOSED AGREEMENT SUBMITTED BY CERES, SSA, AND PAF AND THE DETERMINATION BY FMC'S GENERAL COUNSEL THAT THOSE RESPONDENTS WERE NOT MTOs

22. On March 29, 2019, Respondents Ceres, SSA, and PAF filed a proposed agreement entitled the *Georgia-South Carolina Marine Terminal Operator Cooperative Working Agreement* with the Commission (the “Proposed Agreement”). Am. Compl., Ex. B. The Proposed Agreement was assigned FMC Agreement No. 201293. *See* Exhibit 6 (Resp. Appx. 000110-000111).

23. SCPA submitted a letter to the Commission in support of the Proposed Agreement, indicating that SCPA believed consolidation of stevedoring services would enhance efficiency at the port, including by reducing overhead and improving the interface between terminal operations and stevedoring operations, as well as by increasing predictability in volumes, strengthening relations with carriers, and enhanced integration with the company that runs the Charleston gate. Exhibit 7 (Resp. Appx. 000112-000114).

24. In proceedings before the Commission, Respondents Ceres, SSA, and PAF asserted that certain of their services fell within the Shipping Act’s definition of marine terminal operator (“MTO”) set forth at 46 C.F.R. § 525.1(c)(13) and, therefore, that the Proposed Agreement was subject to FMC filing under the Shipping Act, 46 U.S.C. §§ 40102(15), 40301(b). *See* Exhibit 8 at RESP_000528 (Resp. Appx. 000119).

25. The Commission reviewed the submission by Ceres, SSA, and PAF pursuant to the process set forth at § 40304(d), including issuing a Request for Additional Information on May 9, 2019. Exhibit 9 (Resp. Appx. 000131-000137). Ceres, SSA, and PAF responded to all requests from the Commission. Exhibits 10, 11 (Resp. Appx. 000138-155).

26. On August 6, 2019, the Commission’s General Counsel issued an opinion letter concluding that “the Parties to the [Proposed Agreement] do not appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984.” Exhibit 12 (Resp. Appx. 000156-

000161) (the “Opinion Letter”). The Opinion Letter reasoned that the Ceres, SSA, and PAF did not exercise sufficient control over the terminal facilities in Charleston or Savannah to be considered MTOs because their primary activities were stevedoring services provided to carriers. *Id.*

27. Although the Opinion Letter technically was not binding on the Commission, Respondents Ceres, SSA, and PAF withdrew the Proposed Agreement on September 9, 2019 in response to the Opinion Letter to avoid having it be formally rejected. Exhibit 13 (Resp. Appx. 000162-163).

V. RESPONDENTS’ CURRENT OPERATIONS IN THE PORTS OF CHARLESTON AND SAVANNAH

A. Gateway and CSC Provide Stevedoring Services in Charleston and Savannah Pursuant to the Terms and Conditions of Licensing Agreements with the Port Authorities

1. The Scope of CSC’s Stevedoring Services in Charleston

28. CSC was formed in 2020 after the Proposed Agreement was withdrawn. It operates pursuant to an Amended and Restated Operating Agreement dated March 4, 2020. Exhibit 14 (Resp. Appx. 000164-172) (referencing a Limited Liability Company Agreement dated January 29, 2020). It is owned by SSH, a joint venture between Ceres, SSA, and MTCE. *See* Haigler Decl. ¶ 3 (Resp. Appx. 000372-373)

29. The scope of CSC’s operations in Charleston is set forth in its licensing agreements with SCPA. *See generally* Exhibits 15-16 (Resp. Appx. 000173-000180).

30. Shortly after its formation, on April 8, 2020, CSC entered into a License Agreement with SCPA. Exhibit 2 (Resp. Appx. 000041-000053). This License Agreement acknowledged that CSC was a newly formed joint venture seeking to provides stevedoring and related services in Charleston and set forth terms of a license that would begin on the date CSC

was ready to proceed, on or about May 4, 2020. *Id.* The License Agreement stated that CSC would provide the stevedoring services set forth in Schedule A and in accordance with applicable laws, SCPA tariffs, and collective bargaining agreements. *See generally id.* Schedule A provided that CSC and the SCPA would “endeavor to consult with each other and, where applicable develop guidelines and protocols for the safest, most efficient, and most competitive Stevedore Services in the South Atlantic port market in the following areas,” *id.* at Resp. Appx. 000051:

• safety; • berth availability; • berth and crane productivity; • stand-by time and delays; • gate throughput and turn times; • gate hours of operations; • penalties and incentives, if applicable; • number of yard machines to support crane operations (absent any agreement to the contrary, parties agree that two (2) yard machines per crane are required to ensure sufficient productivity); • optimizing inbound and outbound containers; • loading and unloading containers to and from vessels; • twin-pick or tandem lifting opportunities; • cycling opportunities; • import segregation; • export stack management; • delivery to vessel; • container yard layout to support efficient vessel operations; and • other matters not otherwise defined to support efficient operations.	
---	--

31. On May 4, 2020, CSC and SCPA executed a Master Port Facility License Agreement dated May 4, 2020 (the “CSC Master License Agreement”), which details the current scope of CSC’s activities in Charleston. Exhibit 3 (Resp. Appx. 000054-000078).

32. On its face, the CSC Master License Agreement states that SCPA has a “duty to operate, develop and improve the Port of Charleston.” *Id.* It also explicitly states that CSC shall use the Facility “solely for providing stevedoring services at the Terminal necessary and useful

to facilitate the handling and movement of cargo to, from, and within the Terminal and Port . . .”
Id. § 4.01 (Resp. Appx. 000058-59).

33. Pursuant to the CSC Master License Agreement, SCPA grants a license to CSC for the “use of certain land and improvements at the Terminal,” which is designated in Schedule A of the agreement,¹ in exchange for a fee. *Id.* § 1.01 (Resp. Appx. 000056). Schedule A shows that CSC’s license includes office space, as well as exterior spaces for equipment storage and transload areas, *id.* at Resp. Appx. 000074:²

SCHEDULE A (Facility, Fee and Rate Schedule, and Other Terms and Conditions) Breakdown of Facility Locations and License Fees					
Terminal	Interior/Exterior Occupancy	Building Number Description	Approximate Square Feet	Annual Rate/ Sq. Ft	Monthly Rate
Wando Welch Terminal	Interior	Office Space: Building 440 Room 101	340.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 102	280.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 103	216.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 104	180.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 105	180.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 106	357.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 111	368.00		
Wando Welch Terminal	Interior	Office Space: Building 440 Room 112	252.00		
Total			2,173.00	\$25.00 Per Sq. Ft	\$ 4,527.08
Wando Welch Terminal	External	High dock for equipment storage by berth 2	1,440.00	\$5.00 Per Sq. Ft	\$ 600.00
North Charleston Terminal	Interior	Office Space: Building 586	1,237.50	\$25.00 Per Sq. Ft	\$ 2,578.13
North Charleston Terminal	Exterior	High dock for equipment storage by berth 1	1,000.00	\$5.00 Per Sq. Ft	\$ 416.67
Wando Welch Terminal	External	Transload Area by Chassis Yard	Approximately 1.16 Acres	By Pier Container	
North Charleston Terminal	External	Transload Area as Designated	Various	By Pier Container	
Hugh K Leatherman Sr. Terminal	Addendum to come	Addendum to come	Addendum to come		

34. The CSC Master License Agreement states that CSC’s use of all of these areas as well as “all matters, arrangements, services, and charges” between CSC and SCPA “shall be

¹ The agreement refers to the locations set forth on Schedule A as the “Facility.” *See* Exhibit 3 § 1.01 (Resp. Appx. 000056).

² The CSC Master License Agreement has been amended twice to add two additional internal offices to the license agreement. *See* Exhibit 15 (Resp. Appx. 000173-176) (amendment to CSC license agreement dated March 1, 2022, relating to rental of internal office space at Room 115, Building 448 at the Wando Welch Terminal); Exhibit 16 (Resp. Appx. 000177-180) (second amendment to CSC license agreement dated January 1, 2023, relating to rental of internal office space at Room 113A, Building 448 at the Wando Welch Terminal). The Master Agreement also makes clear that it is not a lease and that no estate in real property is created by the agreement. Exhibit 3 § 1.01 (Resp. Appx. 000056).

governed by the rules, regulations, rates and terms of [SCPA's] then-current Marine Terminal Operator Schedule/Terminal Tariff No. 8.” *Id.* § 3.02 (Resp. Appx. 000057).

35. CSC is not permitted to transfer or assign any of its rights or interest under the Master License Agreement without prior written consent from SCPA. *Id.* § 8.01 (Resp. Appx. 000065).

36. The CSC Master License Agreement also gives CSC permission to use common areas within the Port, but notes that the SCPA “shall have the right to change the designated common facilities and to designate certain common facilities for the exclusive use of one or more users of the Port or Terminal so long as such activities do not impair [CSC's] use of the Facility.” *Id.* § 1.02 (Resp. Appx. 000056).

37. CSC owns forklifts and other cargo handling equipment for use in providing stevedoring services in Charleston. *See* Exhibit 17 (Resp. Appx. 000181-186). CSC also has an Equipment Use Agreement with Container Maintenance Corporation and Charleston Gate, LLC, dated June 7, 2022, under which CSC has agreed to share equipment with the other parties. *Id.*

38. CSC rents tractors and other equipment from TICO at the rates set forth in the TICO Terminal Services South Atlantic Equipment Rental Tariff effective February 1, 2023. Exhibit 18 (Resp. Appx. 000187-000197).³

39. CSC negotiates rates with the various carriers that call at the port. The rate sheets specify the precise services that CSC provides. Such services include, but are not limited to:

- Rates to load and discharge containers, loaded and empty
- Rates to restow containers

³ This tariff changes from time-to-time. Prior to the current tariff, CSC rented equipment under the TICO tariff effective October 1, 2021. *See* Exhibit 19 (Resp. Appx. 000198-208).

- Rates for detention, extra labor, and overtime

See, e.g., Exhibit 20 (Resp. Appx. 000209-214).⁴ The rate sheets do not include such services “associated with the use of terminal facilities, such as wharfage, dockage, storage fees, demurrage, crane use charges, or facilities fees” that would meet the definition of an MTO under 46 U.S.C. § 40102(15).

40. With respect to terminal access, CSC has no ability to grant or deny access to any SCPA facilities. Haigler Decl. ¶ 12(d) (Resp. Appx. 000375). SCPA and its police department have complete control over the security of the terminal, and authority over who enters and exits their facilities through SCPA’s security gates. *Id.* Screening of persons and vehicles arriving at the terminal is done by port police at a SCPA security gate at the terminal entrance. *Id.* If granted access by SCPA, Charleston Gate Company provides contracted gate services and follows the interchange transaction guidelines issued by SCPA to provide documentation to the truck driver and update SCPA’s terminal operating system. *Id.*

2. The Scope of Gateway’s Stevedoring Services in Savannah

41. Gateway existed prior to the effort by SSA, Ceres, and PAF to propose a joint venture arrangement to the FMC; originally it was formed as a joint venture to provide gate services. Grimes Decl. ¶ 19 (Resp. Appx. 000366-367). In 1999 an agreement was filed with the FMC covering the operation of Gateway Terminals, LLC; however, the agreement was returned by the FMC to the parties marked as “not subject” to the Shipping Act. Exhibit 21 (Resp. Appx. 000215-293). There are no additional public records available indicating the basis for that determination.

⁴ Numerous CSC rate sheets were produced. Because they are essentially the same for present purposes, Exhibit 20 is a representative example.

42. When the FMC declined to exercise jurisdiction over the joint venture proposed in 2019, Gateway's role was expanded to incorporate stevedoring services as well as gate services at Savannah. *See* Grimes Decl. ¶¶ 12-15, 19 (Resp. Appx. 000365-366); Exhibit 22 (Resp. Appx. 000294-302) (Second Amended and Restated Operating Agreement of Gateway Terminals, L.L.C., dated December 22, 2021). The scope of Gateway's operations in Savannah is set forth in its license agreement with GPA, which is dated October 29, 2021. *See generally* Exhibit 1 (Resp. Appx. 000001-40) (the "Gateway License Agreement").

43. The Gateway License Agreement states that GPA has the power to "develop and improve seaports" in Georgia "for the handling of waterborne commerce" as well as to "investigate and handle matters pertaining to transportation rates and rate structures affecting freight and commerce through such ports." *Id.* at p. 1 (Resp. Appx. 000002). It further states that, in furtherance of such powers, "GPA has decided to consolidate the provision of container vessel stevedoring and gate services by a single entity [(i.e., Gateway)] in the belief that consolidation will yield positive benefits for the State of Georgia and Terminal users including . . . improvements related to safety, quality, and efficiency of vessel stevedoring and gate services." *Id.* (Resp. Appx. 000002).

44. Pursuant to the Gateway License Agreement, GPA designated Gateway as the "exclusive provider of container vessel stevedoring and gate services at the Terminal" but also recognized that GPA would "continue to be the marine terminal operator for the Terminal responsible for the operation of all cranes and container handling equipment such as top lifts, and all container yards and intermodal container transfer facilities." *Id.* ¶ 1 (Resp. Appx. 000003).

45. The Gateway License Agreement adopted and incorporated rates, rules, and regulations as set forth in GPA's Marine Terminal Operator Schedule No. 5-A and Gateway agreed that it would be liable for noncompliance therewith. *Id.* ¶ 3 (Resp. Appx. 000004).

46. Under the Gateway License Agreement, Gateway agreed to provide the stevedoring services in accordance with the terms and conditions set forth in Exhibit C to the agreement, *id.* ¶ 7, Exhibit C (Resp. Appx. 000030-000035), including but not limited to:

- a. Gateway must remove all equipment, tools, and personal property from the terminal other than that which is stored in the equipment storage area provided by GPA;
- b. Gateway must remove all containers and breakbulk cargo from the dock facilities prior to the earlier of the arrival of new vessel at berth or the end of each day;
- c. Gateway is responsible for leading or purchasing tractor and trailer equipment required to provide stevedoring services, but is only permitted to store tractors leased by TICO at the Terminal;
- d. Gateway must provide GPA with reports on its performance based on key performance indicators set forth in the License Agreement; and
- e. Gateway must hire and employ specified numbers of personnel for particular positions and responsibilities as set forth in the License Agreement.

47. The terms of the Gateway License Agreement make clear that Gateway operates the gate to the Port of Savannah as GPA's agent. Specifically, Gateway agreed to provide the

gate services in accordance with the terms and conditions set forth in Exhibit D to the agreement, *id.* ¶ 7, Exhibit D (Resp. Appx. 000039-40), including:

- a. GPA granted Gateway permission to use real and personal property to provide gate services, including recording (i) transfers of equipment (containers and chassis) entering or leaving the Terminal by rail or motor carrier; and (ii) the condition of the equipment during each interchange;
- b. Gateway must provide gate services at the hours and rates set forth in the License Agreement; and
- c. Gateway must provide GPA with reports on its performance based on key performance indicators set forth in the License Agreement.

48. The Gateway License Agreement also set forth the rates applicable to all services to be provided by Gateway and the safety rules and requirements to which Gateway was required to adhere when performing such services. *Id.* ¶¶ 5-6, Exhibits A-B (Resp. Appx. 000022-29).

49. Under the Gateway License Agreement, Gateway agreed to renew its lease of Raes Hall at Savannah and consolidate its office space within that building; however, GPA agreed not to charge any rent. *Id.* ¶ 11.⁵ Gateway also entered a separate lease for 313 square feet of office space at Building CP (227-229). Grimes Decl. ¶ 16 (Resp. Appx. 000366).

50. Gateway is not permitted to assign its rights or obligations under the Gateway License Agreement without GPA's prior written approval. Exhibit 1 ¶ 20 (Resp. Appx. 000015).

⁵ Gateway also agreed to lease additional office space and replace other entities as the lessee on a lease for 3 acres of land used for jockey truck training. Exhibit 1 at ¶ 11 (Resp. Appx. 000007-8). Those leases are not relevant to this dispute.

51. Gateway negotiates rates with the various carriers that call at the port. The rate sheets specify the precise services that Gateway provides. Such services include, but are not limited to:

- Loading and unloading containers;
- Shifting containers in the vessel (either fully onboard or using the dock); and
- Overtime labor

Moreover, GPA terminal charges are expressly excluded. *See, e.g.*, Exhibit 23 (Resp. Appx. 000303-305).⁶ The rate sheets do not include such services “associated with the use of terminal facilities, such as wharfage, dockage, storage fees, demurrage, crane use charges, or facilities fees” that would meet the definition of an MTO under 46 U.S.C. § 40102(15).

B. Neither CSC Nor Gateway Offers Warehousing

52. CSC’s licensing agreement with SCPA does not state that CSC will offer warehousing at Charleston. *See generally* Exhibit 3 (Resp. Appx. 000054-000078). Rather, CSC’s licensing agreement provides, in relevant part, “[t]he parties agree that this Agreement is a license and not a lease, and that no estate in real property or other interest in property is created by this Agreement.” *Id.* at Resp. Appx. 000056. No mention of warehouse space is made.

53. Gateway’s license agreement with GPA does not state that Gateway will offer warehousing services at Savannah. *See generally* Exhibit 1 (Resp. Appx. 000001-40). To the contrary, the Gateway License Agreement provides that Gateway shall lease space at Raes Hall, 3 acres along Brampton Road used for jockey truck training, and 313 square feet of office space

⁶ Numerous Gateway rate sheets were produced. Because they are essentially the same for present purposes, Exhibit 23 is a representative example.

at CP (227-229). Grimes Decl. ¶ 16 (Resp. Appx. 000366). No mention of warehouse space is made.

54. All warehousing work at the Savannah terminal is performed by GPA employees. McCarthy Decl. ¶ 3(j) (Resp. Appx. 000401).

C. The Port Authorities Are Responsible for the Ports' Security

55. SCPA and GPA maintain Facility Security Plans for Charleston and Savannah, respectively, as required by 33 C.F.R. Part 105.

56. The CSC license agreement provides, in relevant part:

4.02 Maritime Transportation Security Act. Licensee and all Licensee's agents, employees and contractors shall fully comply with all applicable provisions of the Maritime Transportation Security Act (the "MTSA") and all applicable policies, procedures, and regulations of the Ports Authority and the Department of Homeland Security pertaining to security and operations at the Port and the Terminal. Where applicable, Licensee's agents, employees and contractors must successfully complete MTSA training within thirty (30) days following the date of this Agreement for existing personnel, and within thirty (30) days following the hire date for personnel hired or retained during the term of this Agreement. Where applicable, the Ports Authority may require a permit decal for certain motor vehicles for a fee. Where applicable, personnel at the Terminal must apply for and receive a Transportation Workers Identification Card ("TWIC") or any other identification that may be required by the Ports Authority or the Department of Homeland Security. All Licensee's employees, agents, contractors, and operators located at the Facility shall be citizens of the United States or legally documented persons entitled to work in the United States.

Exhibit 3 ¶ 4.02 (Resp. Appx. 000059).

57. The Gateway-GPA license agreement provides, in relevant part:

GPA is a marine terminal operator with deep water facilities handling international cargo and thus regulated by the Maritime Transportation Security Act ("MTSA") and the Code of Federal Regulations ("CFR"), both currently enforced by the U.S. Coast Guard ("USCG"). The Terminal contains "Restricted Areas", as defined in CFR 33, and access control requirements are enforced by GPA. The Terminal property is a "Restricted Area" requiring all entry to comply with GPA's Facility Security Plan, i.e.

33 CFR Part 105, as assessed and approved by the USCG. By execution of this Agreement, or any amendments thereto, Gateway agrees, on behalf of itself, its employees, ILA longshoremen employed by Gateway and any of its contractors and subcontractors, to comply with current rules and regulations, and any revisions thereto, whether by the MTSA, CFR or other authoritative body, or GPA's Facility Security Plan, to the extent the Facility Security Plan, or any part thereof, is made known to Gateway.

Exhibit 1 at Ex. B (Resp. Appx. 000025-29).

58. While Gateway inspects containers for compliance with safety-related regulations, it is GPA (through its port police force) that controls entry to the terminal on security-related grounds. Grimes Decl. ¶ 11 (Resp. Appx. 000365). The Port Police check TWIC identification cards and otherwise screen users, containers and trucks for compliance with GPA's Facility Security Plan, Coast Guard terminal security regulations and the Maritime Transportation Security Act. *Id.* Gateway does not have its own Facility Security Plan, as it does not operate a marine terminal facility. *Id.*

59. GPA Safety is responsible for overseeing the operations of GPA Police and stevedore operations. Terminal cameras and IT equipment all belong to the GPA. GPA Police are responsible for terminal security. *Id.* ¶ 19 (Resp. Appx. 000366).

60. GPA has complete control over the security of the terminal, including who enters and exits the facility through GPA's security gates. Once an entity is granted access, Gateway then provides contracted gate services and follows the interchange transaction guidelines issued by the GPA. *Id.* See also generally McCarthy Decl. ¶ 4(i)-(k) (Resp. Appx. 000405-406).

Dated: June 5, 2023

Respectfully submitted,



Matthew Thomas

Kierstan L. Carlson
Emma Jones
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com
Kierstan.Carlson@BlankRome.com
Emma.Jones@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
KLetourneau@BlankRome.com

**COUNSEL FOR RESPONDENTS
GATEWAY TERMINALS, LLC;
CHARLESTON STEVEDORING
COMPANY; PORTS AMERICA
FLORIDA, INC.; CERES
MARINE TERMINALS, INC.;
AND SSA ATLANTIC, LLC**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing Respondents' Proposed Findings of Fact was provided to Complainant's counsel of record by email on this 5th day of June 2023.



Matthew Thomas
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com